# EXECUTIVE SUMMARY

## 1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a visita of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipal Government of Sanchez Mira, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

## 2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sanchez Mira for the year ended December 31, 2015, with comparative figures for CY 2014 are as follows:

| | 2015 | 2014 | Increase (Decrease ) |
|---|---|---|---|
| **Financial Condition** | | | |
| Total Assets | P 164,777,449.29 | P 143,505,488.68 | 21,271,960.61 |
| Total Liabilities | 61,586,016.80 | 46,469,339.49 | 15,116,677.31 |
| Total Government Equity | 103,191,432.49 | 97,036,149.19 | 6,155,283.30 |
| | | | |
| **Results of Operation** | | | |
| Total Income | P 85,956,984.62 | P 76,486,145.44 | 9,470,839.18 |
| Total Expenses | 65,588,576.68 | 56,428,361.73 | 9,160,214.95 |
| | | | |
| **Appropriations, Allotments and Obligations** | | | |
| Appropriations | P 98,780,649.11 | P 118,958,514.24 | P (20,177,865.13) |
| Allotments | 98,780,649.11 | 118,958,514.24 | (20,177,865.13) |
| Obligations | 67,773,991.33 | 73,155,933.74 | (5,381,942.41) |

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

| | 2015 | 2014 | Increase/(Decrease) |
|---|---|---|---|
| Fund Transferred to Other Agencies: | | | |
| Due from NGAs | 0.00 | 0.00 | 0.00 |
| Due from GOCCs | 0.00 | 0.00 | 0.00 |
| Due from LGUs | 0.00 | 0.00 | 0.00 |
| Due from NGOs/POs | 0.00 | 0.00 | 0.00 |
| Others | 0.00 | 0.00 | 0.00 |
| TOTAL | 0.00 | 0.00 | 0.00 |
| Fund Received from Other Agencies: | | | |
| Due to Other NGAs | P 26,215,478.00 | P 5,251,611.96 | P 20,963,866.04 |
| Due to LGUs | 2,464,204.69 | 13,047,685.84 | (10,583,481.15) |
| Due to NGOs/POs | 0.00 | 0.00 | 0.00 |
| Others | 0.00 | 0.00 | 0.00 |
| TOTAL | | | |

**3. Independent Auditor's Report on the Financial Statements**

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Sanchez Mira, Cagayan as of December 31, 2015 due toReal Property Tax and Special Education Tax Receivables totaling P25,084,994.99 could not be ascertained for lack of certified list of taxpayers, indicating the corresponding amount due and collectible and the subsidiary ledgers.

**4. Summary of Significant Findings and Recommendations**

For CY 2015, the municipality of Sanchez Mira thru the leadership of Honorable Asela B. Sacramed and the members of the Legislative Body and executive Staff, is one of the recipients of the CY 2015 Good Financial Housekeeping, a core area of the Seal of Good Local Governance.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality:

1. **The Real Property Tax and Special Education Tax Receivables totaling P25,084,994.99 could not be ascertained for lack of certified list of taxpayers, indicating the corresponding amount due and collectible and the subsidiary ledgers, contrary to Section 20, Volume I of the New Government Accounting System (NGAS).**

We reiterate our previous year's recommendation that management direct the concerned officials to:

1. Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;
2. Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;
3. Maintain subsidiary ledger for each taxpayer.

**2. Cash advances for payroll amounting to P403,876.00 as of September 30, 2015 remained unliquidated contrary to Section 89 of P.D 1445 and COA Circular No. 97-002 dated February 10, 1997.**

We recommended that the Disbursing Officer liquidate immediately the amount of P403,876.00 representing payroll fund as of September 30, 2015. Likewise, strictly follow the rules and regulations on the granting, utilization and liquidation of cash advances pursuant to Section 89 of P. D. 1445 and COA Circular No. 97-002 dated February 10, 1997.

**3. The Municipality failed to implement COA Circular No. 2013-004 dated January 30, 2013, which requires the announcement or publicity of government programs, projects, and activities, hence, defeated the purpose of the government to promote good governance through transparency and accountability.**

We recommended that Municipal officials and employees concerned comply strictly with the provisions of COA Circular No. 2013-004.

**4. Job order employees were hired without clear and written program, policy guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

With the above observations, we recommended that:

a) Management attribute the hiring of Job Order personnel to specific projects for a period of not exceeding six months. Maximize personnel holding permanent positions to do regular, administrative and clerical functions.

b) Management formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices in order to avoid excessive manpower and work duplication. Management to formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices to avoid excessive manpower and work duplication

5. **The timely review, verification and settlement of accounts, financial statements and other financial reports was not made due to the failure of the municipality to submit the said accounts and reports within the prescribed period contrary to COA Circular No. 2009-006 dated September 15, 2009, Section 6.05 of COA Circular 95-006 and Section 39(1) & (3) of Presidential Decree (PD) No. 1445.**

   We recommended that the Municipal Accountant submit the required reports on or before the set deadline to give the auditors an opportunity to conduct timely verification of accounts and to avoid administrative sanctions and/or disallowance of the accounts as provided for under Section 39(1) & (3) of PD 1445.

6. **Procurement of gasoline, oil and lubricants was not done in accordance with the Philippine Government Procurement Act (RA 9184) and its IRR, thus, the cost of procured items are not assured as reasonable and advantageous to the government.**

   We recommended that Management adopt public bidding on the procurement of gasoline and strictly adhere with the provisions of RA 9184 and its IRR.

## 5. Summary of Total Suspensions, Disallowances and Charges as of year-end

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | 0.00 | 0.00 | 0.00 | 0.00 | |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | |
| Total | 0.00 | 0.00 | 0.00 | 0.00 | |
| | | | | | |
| **Disallowances** | | | | | |
| Prior Years | 0.00 | 0.00 | 0.00 | 0.00 | |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | |
| Total | 0.00 | 0.00 | 0.00 | 0.00 | |
| **Charges** | | | | | |
| Prior Years | 0.00 | 0.00 | 0.00 | 0.00 | |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | |
| Total | 0.00 | 0.00 | 0.00 | 0.00 | |

## 6. Status of Implementations of Prior Years' Audit Recommendations

Out of ten (10) audit recommendations in 2014 Annual Audit Report (AAR), three (3) were fully implemented, three (3) were partially implemented, and four (4) were not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in part III of this report.